

Candlestick Patterns

Visual guide to reading price action like a professional

16 pages

Educational Guide

Not Financial Advice

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1. Anatomy of a Candlestick

A candlestick represents four key prices for a given time period: Open, High, Low, and Close. These four numbers tell the complete story of that period's price action and reveal who won the battle between buyers and sellers.

Part	What It Shows	Appearance
Green/White Body	Price closed HIGHER than open — buyers won	Wide green rectangle
Red/Black Body	Price closed LOWER than open — sellers won	Wide red rectangle
Upper Wick	Highest price reached during the period	Thin line above body
Lower Wick	Lowest price reached during the period	Thin line below body
No Wick	Strong move with no rejection	Body extends to high/low

2. Single Candle Patterns

Doji

Open and close are nearly equal, creating a cross or plus shape. Shows market indecision — neither buyers nor sellers won the period. Most significant at key support/resistance levels.

Signal: Neutral — potential reversal if at key levels

Hammer

Small body at the top with a long lower wick at least twice the length of the body. Appears at the bottom of downtrends. Sellers drove price down but buyers pushed it back up before close.

Signal: Bullish reversal signal

Shooting Star

Small body at the bottom with a long upper wick. The mirror image of a hammer — appears at the top of uptrends. Buyers pushed price up but sellers rejected the higher levels.

Signal: Bearish reversal signal

Marubozu

Large full body with no wicks. A green marubozu shows aggressive buying from open to close with no pullback. A red marubozu shows aggressive selling with no recovery.

Signal: Strong continuation in direction of body

Spinning Top

Small body with roughly equal upper and lower wicks. Both buyers and sellers were active but neither dominated. Similar to a doji but with a more visible body.

Signal: Neutral — watch for the next candle

3. Reversal Patterns

Critical Rule

Reversal patterns only carry significance when they appear at key support or resistance levels after an extended trend. A hammer in the middle of random price action has little meaning. Context is everything.

Engulfing Pattern

Pattern: 2 candles

A large candle completely engulfs the body of the previous candle. Bullish engulfing: large green candle swallows a red one at the bottom of a downtrend. Bearish engulfing: the reverse at the top of an uptrend.

Signal: Strong reversal — one of the most reliable patterns

Morning Star

Pattern: 3 candles

A large red candle, followed by a small indecision candle that gaps below, then a large green candle that closes well into the first red candle. The middle candle shows the tide turning.

Signal: Bullish reversal — especially powerful at major lows

Evening Star

Pattern: 3 candles

The opposite of a morning star. Large green candle, small star gapping up, then a large red candle closing well into the first green candle. Signals exhaustion of the uptrend.

Signal: Bearish reversal — appears at tops of uptrends

Three White Soldiers

Pattern: 3 candles

Three consecutive large green candles, each opening within the previous body and closing near its high. Shows sustained, aggressive buying pressure entering the market.

Signal: Bullish reversal or continuation — powerful signal

Three Black Crows

Pattern: 3 candles

Three consecutive large red candles, each opening within the previous body and closing near its low. The mirror of three white soldiers — shows sustained selling pressure.

Signal: Bearish reversal — signals strong selling pressure

4. Continuation Patterns

Bullish Flag

After a strong upward move (the flagpole), price consolidates in a small downward-sloping channel (the flag). When price breaks above the flag, the uptrend typically continues with momentum equal to the flagpole.

Bearish Flag

After a strong downward move, price consolidates in a small upward-sloping channel. A break below the channel signals continuation of the downtrend.

Ascending Triangle

A series of higher lows pressing against a flat resistance level. Each higher low shows buyers getting more aggressive. A breakout above the flat resistance is a bullish continuation signal.

Descending Triangle

A series of lower highs pressing against a flat support level. Sellers becoming more aggressive. A break below the flat support is a bearish continuation signal.

5. Volume Confirmation

Volume is the number of units traded during a candle period. It is the most important confirmation tool for any candlestick pattern. A pattern without volume confirmation is significantly weaker.

Scenario	Meaning
Pattern + HIGH volume	Strong signal — institutional money is participating
Pattern + LOW volume	Weak signal — potential false move, use caution
Rising price + Rising volume	Healthy uptrend — strong and sustainable
Rising price + Falling volume	Weakening trend — possible reversal ahead
Falling price + Rising volume	Strong selling pressure — caution on longs